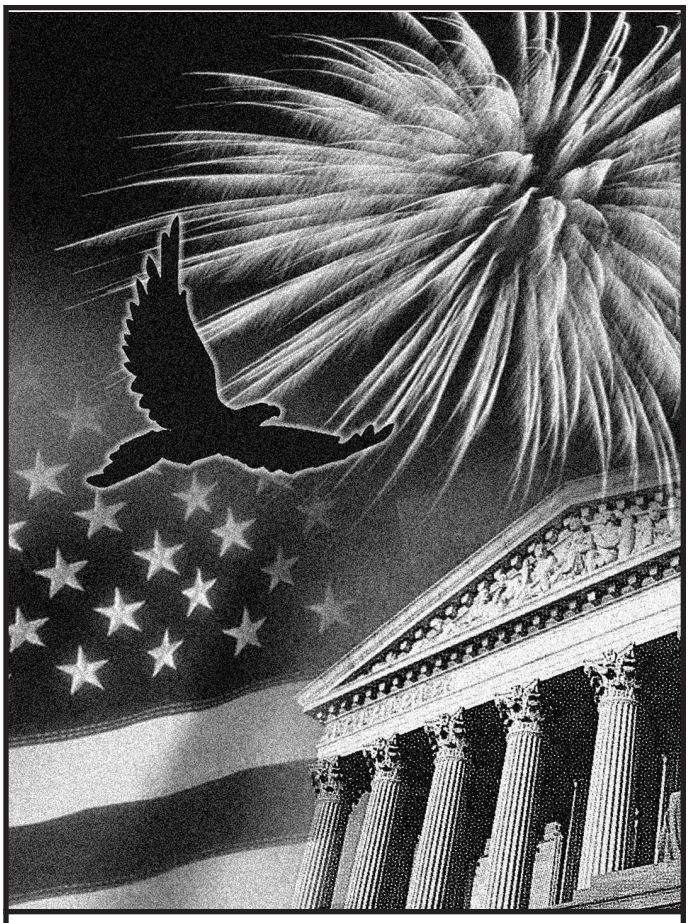
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Household Employer's Tax Guide

For use in **2023**



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Dec 19, 2022

Contents

What's New 1
Reminders 2
Introduction 3
Do You Have a Household Employee? 3
Can Your Employee Legally Work in the United States? 4
Do You Need To Pay Employment Taxes? 4
Social Security and Medicare Taxes 4
Federal Unemployment (FUTA) Tax 7
Do You Need To Withhold Federal Income Tax? 9
What Do You Need To Know About the Earned Income Credit? 9
How Do You Make Tax Payments? 10
What Forms Must You File? 10
What Records Must You Keep? 11
Can You Claim a Credit for Child and Dependent Care Expenses? 12
How Can You Correct Schedule H? 12
How To Get Tax Help 13
Index 18

Future Developments

For the latest information about developments related to Pub. 926, such as legislation enacted after it was published, go to *IRS.gov/Pub926*.

What's New

Social security and Medicare tax for 2023. The rate of social security tax on taxable wages, including qualified sick leave wages and qualified family leave wages paid in 2023 for leave taken after March 31, 2021, and before October 1, 2021, is 6.2% each for the employer and employee or 12.4% for both. Qualified sick leave wages and qualified family leave wages paid in 2023 for leave taken after March 31, 2020, and before April 1, 2021, aren't subject to the employer share of social security tax; therefore, the tax rate on these wages is 6.2%. The social security wage base limit is $160,200.

The Medicare tax rate is 1.45% each for the employee and employer, unchanged from 2022. There is no wage base limit for Medicare tax.

Social security and Medicare taxes apply to the wages of household workers you pay $2,600 or more in cash wages in 2023. For more information, see *Cash wages*, later.

Table 1. **Do You Need To Pay Employment Taxes?**

IF you ...		THEN you need to ...
A	Pay cash wages of $2,600 or more in 2023 to any one household employee. Don't count wages you pay to: • Your spouse, • Your child under the age of 21, • Your parent (see *Wages not counted*, later, for an exception), or • Any employee under the age of 18 at any time in 2023 (see *Wages not counted*, later, for an exception).	Withhold and pay social security and Medicare taxes. • The taxes are 15.3%[1] of cash wages. • Your employee's share is 7.65%.[1] (You can choose to pay it yourself and not withhold it.) • Your share is 7.65%.
B	Pay total cash wages of $1,000 or more in any calendar quarter of 2022 or 2023 to household employees. Don't count wages you pay to: • Your spouse, • Your child under the age of 21, or • Your parent.	Pay FUTA tax. • The tax is 6% of cash wages. • Wages over $7,000 a year per employee aren't taxed. • You may also owe state unemployment tax.

[1] In addition to withholding Medicare tax at 1.45%, you must withhold a 0.9% Additional Medicare Tax from wages you pay to an employee in excess of $200,000 in a calendar year. You're required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold.

Note. If neither A nor B above applies, you don't need to pay any federal employment taxes. But you may still need to pay state employment taxes.

Table 2. **Household Employer's Checklist**

You may need to do the following things when you have a household employee.

When you hire a household employee:	☐ Find out if the person can legally work in the United States. ☐ Find out if you need to withhold and pay federal taxes. ☐ Find out if you need to withhold and pay state taxes.
When you pay your household employee:	☐ Withhold social security and Medicare taxes. ☐ Withhold federal income tax. ☐ Decide how you will make tax payments. ☐ Keep records.
By January 31, 2024:	☐ Get an employer identification number (EIN). ☐ Give your employee Copies B, C, and 2 of Form W-2, Wage and Tax Statement. ☐ Send Copy A of Form W-2 with Form W-3 to the SSA. Don't send Form W-2 to the SSA if you didn't withhold federal income tax and the social security and Medicare wages were below $2,600 for 2023.
By April 15, 2024:	☐ File Schedule H (Form 1040), Household Employment Taxes, with your 2023 federal income tax return (Form 1040, 1040-SR, 1040-NR, 1040-SS, or 1041). If you don't have to file a return, file Schedule H by itself.

Your employee's share is also 7.65% (6.2% for social security tax and 1.45% for Medicare tax). In addition to withholding Medicare tax at 1.45%, you must withhold a 0.9% Additional Medicare Tax from wages you pay to an employee in excess of $200,000 in a calendar year. You're required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold. For more information on Additional Medicare Tax, go to *IRS.gov/ADMT*.

TIP *Generally, you can use Table 3 to figure the amount of social security and Medicare taxes to withhold from each wage payment.*

You're responsible for payment of your employee's share of the taxes as well as your own. You can either withhold your employee's share from the employee's wages or pay it from your own funds. If you decide to pay the employee's share from your own funds, see *Not withholding the employee's share*, later. Pay the taxes as discussed under *How Do You Make Tax Payments*, later. Also see *What Forms Must You File*, later.

Social security and Medicare wages. You figure social security and Medicare taxes on the social security and Medicare wages you pay your employee.